Overdiscounting

Skylab, Three Mile Island, and studies of investor psychology all dramatize an important moneymaking message: there are sound companies with a small probability of trouble that become good buys when the market is too fearful of improbable disasters. When something negative happens, a stock may go down much more than the news warrants. This happens so often that it has its own name: "overdiscounting bad news."

Investors assess information emotionally, creating price distortions that the astute and nimble can exploit.

Opportunities among individual stocks can pop up at any time after such overreactions. Just about the time of Skylab and Three Mile Island, as a matter of fact, a terrible DC-10 crash at Chicago's O'Hare Airport sent McDonnell Douglas stock from 28 to 20. After the shock wore off a little, the stock recovered to 26. That kind of sell-off and bounce back is particularly common today, because of the increasing popularity of so-called momentum investing. Momentum managers buy stocks almost solely on the basis of their recent market rise—they show "relative strength," is the way the managers prefer to describe it—and then sell them if the price drops by some predetermined amount, like 15 percent from a high. (One could say that's not a bad description of someone who buys high and sells low.) Because the system works relatively well in the latter stages of a bull market, it has attracted ever more adherents and assets in the 1990s, and since momentum practitioners all buy the same hot stocks and dump them at the same time when any bit of bad news triggers their sell disciplines, these stocks can be sent plunging well below realistic values.